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Classical liberalism on autonomy and diversity: what it means for individual action and society's institutions

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Abstract

This paper advances three suggestions from the 'classics'. First, freedom as autonomy is distinct from the popular idea that freedom consists of the absence of restraint. This is because autonomous action is different to acting instrumentally on desires or preferences. It is action where the person uses reason to reflect on what ends to pursue and the person thereby becomes more fully the author of their actions. Second, acting autonomously is a coherent understanding of what individual freedom entails in the sense that it yields predictions regarding individual behaviour. In particular, autonomous action is characterised by satisfying the Categorical Imperative and/or by embarking on learning-by-doing to generate knowledge. Kant is the source for the first of these arguments and Mill the second. Third, the exercise of individual freedom will always generate diverse behaviours. As a result, liberals have to be concerned with how the rules of freedom avoid diversity becoming a source of destructive conflict within society. Thus, liberalism has always been as much about how to avoid costly conflict as it has been about how to encode liberty in society's institutions. The last two arguments point public policy towards the character of the rules that constrain and enable action. It is the procedures or means that matter (and not the ends) and they matter in more complicated ways than the idea of freedom as the absence of restraint might suggest.

Keywords Autonomy · Diversity · Learning-by-doing · Rules

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1 Introduction

I make three arguments, drawing on 'classical' sources, in this paper.[1] First, to be free, a person has to enjoy a sense of their autonomy. An autonomous person does not just act to satisfy their given desires or preferences, they are more fully the author of their actions because they have reasons for the ends that they pursue. This is a distinct concept of freedom because it is different from a common conception of freedom as the absence of constraint on individual action. To use Berlin's (1969) terminology, 'classical' sources make 'positive', and not only 'negative', liberty indispensable for the experience of freedom.

Second, the 'classics' offer a coherent and meaningful account of freedom as individual autonomy in the sense that it has specific entailments for how people act that goes beyond the instrumental understanding of agency which is commonly associated with the idea of freedom as the absence of restraint. In particular, from Kant, autonomous action should satisfy the categorical imperative; and from Bacon and JS Mill, action must to some degree be oriented to learning-by-doing new things. These arguments are important for several reasons: not least, for example, because the pursuit of autonomy supplies a reason why freedom as the absence of constraint might also be valued (i.e. it is only with the latter that there is scope for learning-by-doing new things that is crucial for the experience of autonomy). This specific 'classical' content to the concept of autonomy could also inform public policy. It is also notably different to the concept of autonomy in psychology's Self Determination Theory, which has hitherto been used in public policy discussions of autonomy (see Dold and Lewis, 2024). Finally, these specific arguments insulate the concept of autonomy from the recent criticisms that have been made of it by authors like Sugden (2024).

My final argument from the 'classics' has a different focus: how to avoid destructive conflict occurring within a diverse society? This concern arises naturally for the 'classics' because the exercise of freedom (however understood) is bound to generate diversity within a society and such diversity can become a source of destructive conflict. Thus, when liberals attach value to freedom, they have also to be concerned not only with what institutions in a society will best encode individual freedom, but also with how institutions can be designed to avoid the differences in views which are bound to arise in a free society from becoming destructive sources of conflict. The one entails the other.

In this third argument on conflict avoidance in the 'classics', I draw on Mill's (1859) 'harm principle', the Federalist Papers and De Tocqueville to suggest that societies need collective decision making institutions to determine what counts as 'harm' and these governance rules must build-in checks and balances, encourage size and contain economic inequalities. This final argument from the 'classics' is important because the conflict avoidance aspect of liberalism is often lost when, as a political doctrine, it is primarily associated with the pre-eminent valuation of individual liberty. The Stanford Encyclopaedia of Philosophy, for example, begins its entry on liberalism with a quote from Maurice Cranston (1967: 459):"By definition, a liberal

[1] I take the 'classics' for this purpose to comprise of people who made significant contributions to the liberal tradition over 100 years ago.

is a man who believes in liberty". It continues: 'In two ways, liberals accord liberty primacy as a political value…'. In contrast, there is virtually no mention in this entry that liberalism might be concerned with how to prevent a population marked by diversity descending into conflict.[2] Schmidtz(2023) is a rare recent exception to the contemporary singular obsession with liberty within the liberal tradition (also see Aligica and Boettke, 2025, in this issue); and my last argument is designed to reinforce their point that liberalism is as much about designing institutions for diversity as it is about making them carriers of individual liberty.

I advance these three arguments in the following three sections. The Concluding section follows and focuses on the implications of the 'classical' ideas of freedom as autonomy and the consequent concern with diversity. These ideas direct us to look at our institutions, or the rules more generally that guide our actions, through a procedural lens and not consequentially.

When freedom is understood as the absence of constraint on the satisfaction of desires or preferences, it appears natural to judge institutions consequentially by how well they allow people to satisfy their preferences. It is in the nature of autonomous action, however, that it is oriented to the acquisition of knowledge that provide the reasons for action and it is in the nature of knowledge acquisition that it is unpredictable. As a result, institutions that support autonomous action cannot be designed to achieve a particular set of outcomes, they have instead to focus on whether the rules encode the possibility of individual knowledge acquisition in support of individual autonomy: that is, how the rules affect the 'means' available to individuals and not specific 'ends' to which they may lead.

The message is the same from the liberal concern with avoiding conflict in diverse societies. Institutions should be selected for their procedural rather than consequential properties. This is because the design of institutions so as to achieve a particular set of outcomes is likely to involve assessing how different views should be weighed in the evaluation of different outcomes. The point of institutions is not, however, in this way to decide substantively between different views. Instead, their point is to enable a diverse population to live together harmoniously. This requires procedures that treat different views equally and which are as a result designed to avoid one view dominating others.

2 Freedom as individual autonomy

To bring out how the idea that being free depends on being autonomous is a distinct concept of freedom in the 'classics', it helps to begin with a common alternative conception of freedom as the absence of restraint. In economics, this is associated with a model of instrumental individual rationality whereby people act so as to satisfy best their preferences (or more loosely in the folk psychology version, their desires). This is the rational choice model that dominates social science. With this model, a person is free to the extent that they are not involuntarily constrained by others in the pursuit

[2] It is obliquely mentioned only when discussing the idea of 'reasonable pluralism' in the later work of Rawls (1993).

of their desires; and they are correspondingly 'unfree' when coerced in one way or another into acting in a manner that does not best satisfy those desires. This coercion may arise, for example, from a power imbalance of the kind that a monopolist has over consumers or a bias or ignorance in a person's beliefs that has been encouraged by another who stands to gain from these biases.

The idea of freedom as autonomy begins as a complaint that this view is a weak sense of freedom because a person is still, in effect, a prisoner of their desires or preferences. To be genuinely free in the sense of being the author of one's actions—that is, someone who can be held responsible for those actions— a person has to 'own' their preferences or desires. They have to take these preferences to be their own. The same problem will recur if the person 'owns' these preferences because they have a higher order meta-preference for these lower order preferences and which are then used to explain their choice. Instead, if there is to be 'ownership', it must deal in a different currency to that of preference. The alternative currency proposed by the 'classics' that I draw upon is that of reason, understood here as a more general capacity for reflection than simple instrumental calculation. This, for example, is Kant's 1785, 1998) solution. It is reason as it reflects upon itself that potentially supplies guidance to what ends we should pursue. This is reason as it is commonly understood as 'thinking'. Thinking comes from our ability to engage in a dialogue with ourselves. We have this by virtue of enjoying consciousness and we call it thinking or reasoning because consciousness enables us to both formulate and reflect upon ideas.

I will take up in the next section what reason in this expanded/general sense might tell us about the ends that we should pursue if we wish to be autonomous. The point for now is that reason in this general sense might be something that we have as individuals and which gives us the capacity to justify why we have the preferences or desires that we have and so experience a sense of individual autonomy. I want to make three comments about this general strategy for grounding autonomy in reason before I move on to what it might actually entail. The first is clarificatory and the following two provide support for the strategy.

First, one might say on this basis that a person is autonomous when they do not take their objectives as given and can instead give a reason for the preferences/desire/ends that they pursue. They can account for their preferences, though, not simply in a forensic way. It is not that that they can explain the provenance of their preferences: for example, they grew up in this place at this time in a social setting where these preferences were common and so they can be explained through a mechanism of socialisation. An account that generates autonomy is instead justificatory: the reason for the preferences is a good reason because it comes from reason alone.

Second, Kant is both helpful and unhelpful in developing the idea of autonomous action being guided by reason alone. I shall say more about the help-side of this in the next section. He is unhelpful, however, in one respect that I wish to head-off from the start through this comment. He is potentially unhelpful because he pitches autonomous action as non-deterministic and this is what gives content to the idea of freedom: it is action that has *not* been determined by whatever physical processes explain how we come to have desires that we act upon. Freedom and determinism, in other words, are set up as opposites. If this way of conceiving of freedom is accepted,

then it seems that the concept of freedom is going to be squeezed by our developing scientific understanding that everything that happens in our world has a set of antecedent material or physical causes. As a result, philosophers have sought to establish a different, 'compatibilist', relationship between freedom and determinism and so keep alive a coherent notion of freedom (i.e. one that is consistent with a deterministic scientific view of the world).

A common compatibilist move is the one with which I began this section: i.e. people are free to the extent that are unconstrained in the satisfaction of their preferences. The background to this form of compatibilism is a deterministic account of our action. Action can be explained by the physical firing of neurons and the like in the brain in response to stimuli. The patterns of neural firings or deterministic connections that survive under evolutionary pressure will be those that contribute to survival. If 'preference satisfaction' is a source of survival, then we can gloss this deterministic account of our actions as 'preference satisfying' behaviours. In the context of this deterministic account of our actions, freedom is the term we use to capture the extent to which we are able to satisfy our preferences—it is not a marker of how our actions escape from the determinism of the laws of physics.

If this was the only compatibilist move, then it would seem that freedom as autonomy controversially depends on denying the material underpinning of human life. However, it is not the only compatibilist move. Dennett (2019), for instance, usefully sets out a more general compatibilist argument. In this, he understands autonomy within a deterministic setting as a set of physical connections that contain some self control loops. In particular, a self controlling, but still fully deterministic, system can be compared with a system that is either only controlled by processes that connect with the external environment and/or connect to some other agent. A self controlling system may have these controlling connections, but it additionally, crucially, has physical processes that guide the system's behaviour and which are internally self referencing. That is the connections guiding behaviour refer back to states in the system as a whole (These self referencing physical connections may, of course, convey evolutionary advantages and this in turn explains their existence.) To be free in the sense of being autonomous in this context is simply to have such self referencing deterministic connections guide our behaviour. Since on Dennett's account of how other agents/systems might control someone includes influencing what they want, it seems the objects of self control must be as much the ends a person pursues as well as the instrumental understanding of how best to achieve them. The second comment, then, is that the freedom as autonomy is consistent with compatibilism. It does not require the Kantian rendering of freedom as something outside the determinist laws of physics.

Third, the starting point of the argument for autonomy is, in effect, a criticism of the instrumental model of rational agency: it seems to miss something important about human agency. This is not an uncommon observation, even in economics where the rational choice model holds sway. For example, if the 'classics' for this purpose are anything over 100 years ago, then Frank Knight (1922) is a useful illustration of precisely what this argument for an expanded sense of agency picks up on: e.g. 'The chief thing which the common-sense individual wants is not satisfaction for

wants he has, but more, and *better* wants.' (p.458).[3] He does not discuss how reason might be involved in sifting and examining what wants to have but he is quite clear that the personal control over what wants to have and aspire to is a central part of human agency (also see Dold, 2025, in this issue).

There are also many sources outside the 'classics' that point in a similar direction to how people value a feeling of being in control of oneself. I will mention one from psychology to conclude this section: Self Efficacy Theory (see Bandura, 1977). In this literature, self efficacy could be another name for autonomy because it describes an individual's sense of their own agency in the world. It comes not only from knowledge about how their actions connect to outcomes and but also how those outcomes should be valued. The contrast is with someone who has no sense of their agency because they feel swept along by social and natural forces outside their control, as someone whose action is exclusively determined by their desires might feel. Such people experience the world, instead, as one where choice is largely absent. Bandura (2006) usefully summarises the empirical evidence on the connection between a person's sense of self efficacy and their well-being, broadly understood.

> 'Many meta-analyses of the effects of efficacy beliefs have been conducted. They have included both laboratory and field studies of diverse spheres of functioning, with diverse populations of varying ages and sociodemographic characteristics, and in different cultural milieus (*list of citations).* The evidence from these meta-analyses shows that efficacy beliefs contribute significantly to level of motivation, emotional well-being, and performance accomplishments.' (p.171).

3 Individual action in support of autonomy

Even if the argument so far is granted, the idea of freedom as autonomy will only be important if something can be said about how its recognition distinctly affects individual behaviour. In this section, I shall argue from the 'classics' that freedom as autonomy guides behaviour in two distinct ways—that is, two ways that are distinct from the instrumental rational choice model of behaviour.

3.1 The categorical imperative

Kant (1785,1998) famously argues that if there are free actions because reason alone would commend them, then they would have to satisfy the categorical imperative. He gives several formulations of this imperative. The simplest is perhaps 'act only according to that maxim whereby you can at the same time will that it should become a universal law' (p.421). This condition of universalisability arises as a consistency requirement. Since all people are potentially guided by reason, only actions that could be followed by all people could possibly be commended by reason alone.

[3] Buchanan (1979, 1999) is a more recent 'notable' who, of course, makes the same point.

It is important that there is an 'if' in this statement because Kant argues that reason also tells us that what we know about the world is mediated by our particular sensory and cognitive apparatus as humans; and, as a result, we never have access to the way the world actually is in some unmediated way. Our knowledge is, therefore, bound by these human constraints and is fallible.[4] This does not, however, prevent us from seeing what knowledge in this human contigent sense might consist of. Being autonomous through being guided by the categorical imperative is one such example. It also has content. For example, deception when making a promise is not an action that passes the test because the activity of promise making will not survive wholesale deception. In addition, there is some empirical support for Kant's rule. It comes from the connection that that Kant makes between ethics and freedom (he refers to 'ethics as the law of freedom'). For instance, the ethical requirement of the 'golden rule', whereby a person should treat others as they would expect to be treated themselves, embodies, in effect, the Categorical Imperative. Likewise, reciprocity is often regarded as key component of actual moral behaviour (see Haidt, 2012) and the possibility of reciprocity in an action depends on that action satisfying the Categorical Imperative.

Even if these observations count in favour of Kant's formulation, there is, nevertheless, a clear problem. The categorical imperative provides at best a first sift rather than a decisive cull through the possible actions and ends one might hold. Driving on the left is a universalizable rule, but so is driving on the right. So, it is perfectly possible that Kantian freedom lovers will find themselves in a society where they have to resolve in some way the obvious problems that could arise when some drive on the left and some drive on the right. Likewise, Sunday worship is a generalisable course of action, but so is taking exercise on a Sunday. This need not cause conflicts, but it is easy to see how it might: those who subscribe to the Sunday worship rule could feel that the exercisers show disrespect and vice versa. Each could cause the other a harm that each feels give them reason to oppose the action of the others. These examples hint at the problem that my remaining arguments in the paper address: what, if anything, does this commitment to freedom as autonomy entail beyond being guided by the categorical imperative that might give more shape to our actions?

3.2 Learning-by-doing (aka 'experiments in living')

In this section, I claim, in part answer to this question, that, as reason reflects upon itself, it also discerns empirically or inductively that we have a generalised method for acquiring pragmatic knowledge about the world. This is not reason reflecting simply on itself in the deductive manner that yields the categorical imperative, but it is reason reflecting on how we have dealt successfully in the past with our lack of knowledge about the world. This argument depends, of course, on an additional

[4] Hayek is another point of connection worth noting. His argument in The Sensory Order, which just falls within my cut-off point of 1924, is that any species of physical cognitive complexity order 'n' can only accurately represent in physical terms a species with a lower order of complexity. As a result, humans cannot know themselves. There is an inescapable uncertainty for a human about what it means to be human. This, though, doesn't mean humans don't think about themselves and form concepts to help understand themselves. They do. They are just bound to be inaccurate.

empirical claim: i.e. that we have been pragmatically successful in dealing with our uncertainty regarding the natural world through the use of a particular method. That method is the scientific one. In Popper's famous phrasing, science is characterised by the method of formulating 'conjectures' about the world that are then tested through their possible 'refutation' by the tribune of the facts/experience. We know both from the history of science (e.g. Kuhn, 1962, Lakatos, 1978) and from epistemological discussions (e.g Quine, 1951) that this picture is more complicated and I shall come back to this when formulating a model of learning-by-doing.

Learning-by-doing something new (hereafter LBD) is my shorthand description for our application of the scientific method to ordinary life. We are all scientists, as it were, trying to develop knowledge about ourselves, including what ends to value, and about the social world in which we live. Our laboratory is daily life, at home and at work. We try something new in this laboratory, it could be a new action or a new way of thinking about what is going on that then informs our actions (the 'new' is to be understood liberally in other words), and we see what happens. [5] We then use this experience either as a reason to change our beliefs about the world, including sometimes what to value, or, in so far as the new action proves unsatisfactory, the test adds weight to some aspect of our prior beliefs (i.e. whatever part was suspended by considering something new). In either case, the activity of LBD, when focused on the question of what ends to pursue, helps supply a reason for those ends.

To summarise, one might say, uncontroversially and without any originality, that knowledge depends on learning and that a sense of autonomy rests on knowledge; so learning is integral to a sense of autonomy. However, I want to make three more specific claims that make my argument more distinctive. The first follows directly from what has just been said. Our capacity for reason commends the 'scientific method' for learning: i.e. LBD. This is how we learn, including learning what ends to pursue. In this way, LBD has the same provenance in reason, broadly understood, as the Categorical Imperative. The Categorical Imperative stands above the provisionality of LBD, but the Categorical imperative only provides a rough sift of the ends that might be pursued and a person relies on LBD to fill, albeit provisionally, the gaps that the Imperative leaves.

Second, J.S. Mill's famous formulation of how freedom enables 'experiments-in-living' fits precisely this description of LBD in ordinary life. It also makes, with the reference to experiments, the connection to the scientific method even more explicit. Nevertheless, I prefer the term LBD because it signals other 'classical' origins for my argument on this point (see below) and because it has less of a semblance of hippy-dippiness than does 'experiments in living'. The connection to Mill, though, is important for my argument. He is a 'classic' liberal in my sense, this is a paper on what the 'classics' might tell us and he makes freedom important because it allows for people to engage in the experiments-in-living through which they acquire a sense of their individuality. People who have engaged in experiments-in-living have not simply accepted whatever objectives they have been socialised into or have inherited.

[5] There is a psychological tradition that has taken this approach to action in an uncertain world: see Kelly's (1955) 'man as scientist'. There is also an approach to entrepreneurial decision making that takes this approach to uncertainty: see Harper (1996). So, I am not alone in proposing this as a model of action when people are uncertain about what they should do.

They develop reasons through their experiments for what to value as ends. To be an individual in Mill's sense is to be autonomous. This is important because it explains why we might value liberty in the negative sense of the absence of constraint. The domain over which we can engage in experiments-in-living, and so develop the knowledge that is important for autonomy, is given by the extent of these constraints. Thus, we value negative liberty precisely because we value positive liberty in the sense of individual autonomy.

Mill is not the only 'classic' to argue that LBD is how knowledge in general advances. Adam Smith (1776) is the obvious illustrious fore-runner. He famously makes LBD a central source of dynamism in economic life because it generates knowledge (tacit knowledge as well as representable and communicable kinds). He also extends the application of this method from the pin factory to the academy where the activity is the explicit production of knowledge. It is a general principle behind how knowledge of all sorts advances for Smith, whether in the factory or the academy. He does not relate this to the scientific method but it is plain that the 'doing' has to be something new. That the activity has to be 'new' is important because it means going outside or beyond what current beliefs might suggest should be done. In this way, doing something 'new' always involves a test of some prior belief. I bring this strand of the argument to a conclusion by drawing on Arrow (1962). He hardly qualifies as a 'classic' but he is one of the few economists to have seized on this central insight from Smith in the ensuing near 200 years. Arrow, for my purpose, is usefully clear on both the idea that learning comes from activity and that it has to be new activity.

> 'Of course, psychologists are no more in agreement than economists, and there are sharp differences of opinion about the processes of learning. But one empirical generalization is so clear that all schools of thought must accept it, although they interpret it in different fashions: Learning is the product of experience. Learning can only take place through the attempt to solve a problem and therefore only takes place during activity. Even the Gestalt and other field theorists, who stress the role of insight in the solution of problems (Kohler's famous apes), have to assign a significant role to previous experiences in modifying the individual's perception.
>
> A second generalization that can be gleaned from many of the classic learning experiments is that learning associated with repetition of essentially the same problem is subject to sharply diminishing returns. There is an equilibrium response pattern for any given stimulus, towards which the behavior of the learner tends with repetition. To have steadily increasing performance, then, implies that the stimulus situations must themselves be steadily evolving rather than merely repeating.' (Arrow, 1962, 155-6).

Third, if my argument here regarding LBD has an original feature rather than mere reportage on the 'classics', it is that a change in autonomy depends non-linearly on the degree to which a person engages in LBD. The relation between the extent of LBD and a change in a person's sense of their autonomy is broadly given by the inverted U shape in Fig. 1. The 'extent' of LBD here is to be understood potentially

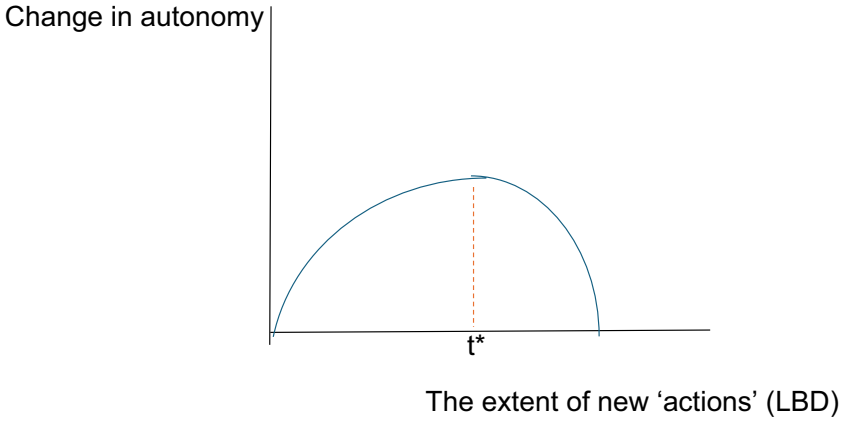

Fig. 1 Changes in autonomy and the scope of LBD

both quantitatively in the sense of the number of beliefs that are tested and also qualitatively in the sense of the significance of these beliefs. It is not important for the argument to distinguish between these two margins.

The inverted U shape arises in the following way. I assume that at any moment in time a person holds a web of beliefs that roughly cohere one with an another and with which they make sense of their world. These beliefs are held more or less securely in the sense of generating feelings of autonomy to the extent that they have been tested. New actions test some of these beliefs. A new action or actions cannot test the whole web of beliefs, however, because the results of such tests need interpreting and for this purpose the person has to hold some unexamined/untested beliefs. I take this insight from the history and the philosophy of science. For example, with 'paradigms' in Kuhn and 'scientific programmes' in Lakatos, there is always in the practice of successful science some assumptions that go unexamined when a theory confronts the tribunal of the facts. Quine (1951) shows why this is unavoidable because no single hypothesis faces this tribunal by itself. There are always additional auxiliary assumptions that become necessary to operationalise a particular hypothesis and, when the test fails, it is a failure for the hypothesis in question only because the other auxiliary assumptions are privileged.

I extend this insight by noting that as the 'new' action becomes more extensive, the received wisdom of the unexamined beliefs which are used for interpretation shrinks and the task of untangling which of the tested beliefs are responsible for any particular aspect of the result becomes more difficult as the extent of the beliefs that are tested increases. At some point both effects will cause difficulties for the interpretation of any test. At first with low LBD, few beliefs are tested. The residual unexamined beliefs are relatively large and the scope for entanglement between the beliefs tested is small, so the interpretation of the test results is relatively easy; and in this way the test, whatever the results, yields an improving sense of autonomy. This will continue as the extent of LBD increases and with it the range of beliefs that are tested, but only up to some point because as LBD increases so the range of unexamined beliefs shrinks and the number of beliefs tested increases, making the

interpretation of any test increasingly more difficult. Indeed, in the limit, if all beliefs were tested by the most imaginably large level of LBD, there would be no remaining unexamined beliefs through which to assess the results; and there would be no gain to a person's autonomy from such a large test. Likewise, at the other extreme, with no LBD and no test, there can be no change in autonomy. Thus, the inverted U emerges Laffer-like by considering the extremes and what happens in between as the balance between the extent of the test and the scope for its interpretation as the residual unexamined beliefs changes.

There is support for this hump-shaped relationship in the evidence on the psychological influence of anxiety. The connection arises because exposure to uncertainty that comes from bringing into question some beliefs when experimenting plausibly causes a psychological state of anxiety. And while some anxiety (i.e. some experimentation) is a good thing, beyond some point when people experience too much anxiety, they become incapable of action (see Dhabhar, 2019). For example, there is evidence that *some* anxiety causes a good functioning immune system and engenders new neural connections in the brain, but, too much anxiety produces a deterioration in people's wellbeing and health as when chronic stress yields obesity, heart disease and Alzeimers (see Dhabhar, 2019).

Scitovsky (1981) draws the same inference when discussing how novelty is always both exciting and threatening with the balance between the two changing with the extent of novelty. In the first instance, a small amount of novelty is more exciting than threatening because the threat represents a manageable challenge from which a person can acquire a sense of self efficacy. Too much novelty, though, and the threat overwhelms any sense of excitement as the person becomes less and less likely to be able to rise to the challenge and so gain a sense of their self efficacy. Instead, failures become more likely and with them a fall in a sense of self efficacy. Scitovsky refers to this inverted U shape as Wundt's law after the 19th century father figure of experimental psychology. The famous Yerkes and Dodson (1908) experiment on mouse learning in the presence of different intensities of feedback from failure yields the same inverted U shape conclusion.[6]

LBD may be important in this way to the experience of freedom as autonomy and it may be governed by the inverted U hump shape, but so what? I offer two answers to this challenge. First, this model generates some potentially interesting predictions.

The LBD model directs action at knowledge acquisition and, as such, it is not easily incorporated into the usual instrumental model where the benefits of an action are weighed against its costs. This is the familiar problem with all knowledge acquisition: one cannot know its value until it has been acquired. This does not mean that instrumental calculation has no purchase. The choice of LBD can still be usefully understood instrumentally in terms of anxiety management along the lines of the model sketched in Fig. 1. Each person aims to achieve the t* level of LBD, with its attendant anxiety levels contributing the optimal amount to a person's sense of autonomy. Any more anxiety through more extensive LBD and extra anxiety is counter productive in terms of boosting autonomy. Any less anxiety through less LBD and

[6] In that experiment, a medium shock is better than both a small and a large shock in encouraging mouse to learn to enter the white tunnel rather than the black one where it receives a shock.

Scitovsky would say there is still scope for more excitement. The relation in Fig. 1, while general for these reasons, will depend for its precise location and shape both on a person's existing sense of autonomy and other background sources of anxiety. In particular, with a higher background level of anxiety, the optimal t* level of LBD will fall because only so much anxiety can be experienced before it becomes counterproductive as far as autonomy is concerned. If more of this anxiety is coming from other background sources, then the management of optimal anxiety will require cutting back on LBD. [7]

This is important because it points to an avenue where public policy might support autonomy. Public policy could be directed at mitigating the individual experience of background anxiety. For example, there is likely to be background anxieties related to health uncertainties and work uncertainties and governments can mitigate these uncertainties through schemes of health and unemployment insurance. In this way, the provision of such positive rights as health and unemployment insurance is directly connected to supporting individual freedom as autonomy.

The variation of LBD is one way in which people control their anxiety. There is another. We know from theories of cognitive dissonance that people can adjust their beliefs in some circumstances when a dissonance arises between a person's actions and those beliefs. In the same spirit, it is always possible that people can respond to an anxiety inducing shock like COVID, not just by adjusting the degree of experimentation but also by adjusting, in a form of motivated reasoning, their beliefs about the world in other respects so as to reduce their overall experience of anxiety. This is the argument made in Hargreaves Heap et al. (2021). It will be plain that such motivated reasoning does *not* help with autonomy and so puts a premium on introducing other measures that lower the background sources of anxiety. Indeed, one might conjecture that the premium is especially large because such motivated reasoning has the potential for developing into a vicious cycle through the way that it harms progress in people's sense of autonomy. This is because people who are less secure in their sense of autonomy will become less likely to engage in LBD and this opens the way to a possible vicious circle whereby motivated reasoning now makes future motivated reasoning more likely in response to future bouts of experiencing additional anxiety.

Second, although I have appealed to the psychology literature in this argument, this is a very different psychological model of what autonomy might amount to than, the perhaps dominant one of, Self Determination Theory (see Deci and Ryan, 2000). It is also an account of autonomy that is not troubled by the critique of the concept of autonomy understood in the manner of Self Determination Theory that has recently been mounted by Sugden (2024).

In Self Determination Theory, people have basic needs for 'autonomy', 'competence' and 'relatedness' and the satisfaction of these needs generates (among other more social things) an individual's well-being. Thus, 'autonomy' is understood along-

[7] There is an obvious connection in this argument to the the work of Knight (1921) on entrepreneurship as the skill that is employed when making decisions under conditions of genuine uncertainty. Uncertainty causes anxiety because, unlike risk, there is no possibility of buying insurance. Harper (1996) makes the connection explicit when arguing that entrepreneurs adopt, in effect, when faced with uncertainty, the scientific method. Knight (1921) also makes the point that entrepreneuship is not governed the usual calculation of the costs and benefits of an action.

side other needs. These needs, including need for autonomy, could plausibly be redescribed as preferences in the language of economics; and so the model of preference satisfaction as a source of well-being could again become the animating source of action in this self determination model. In so far, as this is a fair re-description, then it is clear that the concept of autonomy developed in this paper cannot be shoe-horned in the Deci and Ryan manner into the instrumental model of action as just another type of preference. Autonomous action is action that arises from the application of reason to itself and this is not the same as instrumental reason which calculates which action will best satisfy desires/preferences or needs. Of course, whether this is fair depends on the details of what is said about autonomy in Self Determination Theory and here their account of autonomy appears, at least at first, more promising. It draws on Deci's (1975) earlier work on intrinsic and extrinsic reason and casts action as autonomous to the extent that it is motivated by intrinsic rather than extrinsic reason. This looks more promising because action that arises solely from intrinsic reason is akin to action that is taken because it is good for a person in itself. This looks like an action that is taken because it is its own end and this is how acting on the categorical imperative is sometimes also described. It is also a good description of LBD actions. These are actions taken because knowledge is integral to reason. LBD thus becomes its own end. It is action in support of knowledge that is valued because knowledge is valued.

However, an action that is intrinsically motivated in Self Determination Theory is not quite like this. It is taken because the person exclusively values the action and it is neither taken because it is cheap and can be traded off against other some other action that has merit when operating under a budget constraint nor taken because someone else prods you to take the action. These latter two sources provide extrinsic reasons for the action. This is how the contrast is drawn with intrinsic reason. An Intrinsic reason is simply your reason. But this characteristic does not make your reason a good reason. This is the additional requirement for autonomous actions on the account offered here: it is reason reflecting on itself. Or to put this slightly differently, Self Determination Theory celebrates action in the name of autonomy to the extent that it follows from a person's ends rather than from some external circumstance. On my account, autonomy requires that a person has reasons for their ends.

I conclude this section by briefly turning to two possible critiques of the argument so far. One comes from Sugden's (2024) critique of autonomy. It turns on two points. First, he associates autonomy with Self Determination Theory, which he does not like because people participate in markets in part for extrinsic reasons and extrinsic reasons can crowd-out intrinsic ones. So, if being motivated by intrinsic reason is to be valued on grounds of autonomy, this counts against market activity. Sugden instead believes markets are moral because they are an institution constituted around a commitment to the idea (or a rule) of mutual benefit in economic (and social) life. I agree this is a good. However, I agree because the Categorical Imperative requires that actions involving exchange must satisfy the requirement of being positive-sum. Actions satisfying this requirement can in principle universalise; whereas an action which generates zero-sum benefits does not universalise because we cannot all engage in zero-sum activities and all expect to emerge with a benefit.

To put this argument slightly differently and in a manner that is similar to that regarding how deception undermines promising making. If the market were a zero-sum institution, then the individual action of participation in markets would not universalise because those who lost out would not participate. Conversely if the market is a positive sum institution, then the action of participating in the market could, in principle, universalise because everyone would have an interest in participation. Sugden makes positive sum or mutual benefit a condition of the markets that he proposes for contractarian reasons-otherwise not everyone will agree to be guided by the rules of the market. My alternative explanation of why only positive sum actions universalise thus shares a pragmatic line of argument with that of Sugden's contractarianism. The difference comes from why such positive sum activities enjoy a moral charge.

Second, Sugden does not warm to the idea of autonomy because 'this ideal is incompatible with the inherent context-dependence of psychological attitudes (a product of the non-hierarchical organisation of the human brain)'. I agree that the inherent context-dependence of many psychological attitudes makes a goal of achieveing some kind of coherence difficult. This is no more, though, than an aspect of the more general condition of uncertainty about the world and ourselves that marks human existence and which is central to the argument of this paper. Likewise I agree that the human brain has many specialised non-hierarchical units. However, probably on evolutionary grounds, we have developed some general capacity for thinking about problems. Kant called it reason. Call it consciousness because this seems less contentious. The point is that this thinking generates a 'why?' question about many things, including the ends we pursue. We may be incoherent with specialised cognitive systems, but this doesn't stop the 'why?' question. If there is an answer to the specific version of this question about our ends, then it seems plausible that it might come from turning thinking upon itself in the manner of Kant and Mill (and science). After all, this strategy seems to have fared quite well in understanding other parts of our world, so why wouldn't it here?

The other possible line of criticism worth briefly discussing comes from Hayek and Burke. Both are, of course, 'classics', although whether Burke is a liberal is contested; and both are known to oppose, at least in a headline sense, the rationalism that animates my argument. Instead, both commend us to rely on the customs and practices we have inherited because they are tried and tested solutions to the general knowledge problem in society (and that might include, for this purpose, knowledge about what ends to pursue)[8]. There are two points to be made about this apparent rebuke. First, the knowledge problem that Hayek commends social custom for is one of social coordination. It is not an individual's knowledge regarding what ends to pursue. Here, Hayek is much more likely to refer to the creative, trial and error processes of entrepreneurship of markets because they open consumers to new experiences. Second, the reliance on an evolutionary process of cultural adaptation to the problems of social coordination is not unlike the reliance on the scientific method and it is as much a reflection that comes from reason as is my appeal to scientific method: i.e. it is pragmatic reflection on experience. All paradigms, after all, have

[8] Also see Lehto ((Lehto 2025)) on this line of argument, in this issue.

their unexamined assumptions; and all evolutionary processes rely on some source for the generation of novelty in behaviour. LBD is what provides this novelty for the particulalr knowledge problem that is central to autonomous behaviour on my account; and in this way, if anything, it potentially complements Hayek. In short, and to put the point slightly differently, the reason that animates my argument knows its limits and asks what can be said given these limits, it is not the certain, constructivist reason that Hayek attacks.

4 Institutions for diversity: negative and positive rights

In a liberal society where people experiment, there will be diverse behaviours. As a result, a liberal society faces an institutional design question: what institutions will avoid such diversity causing destructive outbreaks of conflict within society? This question was explicitly in the mind of the early 'Classics' in the liberal tradition: e.g. see Locke's famous 'Letter Concerning Toleration'. Indeed, the rise of the doctrine of liberalism and its elaboration through the work of the 'Classics' has frequently been understood as a response to the religious wars that preceded it as much as a reflection of the rise of individualism (see Schmidtz, 2023). This aspect of the 'classical' doctrine of liberalism has, however, been largely lost in more contemporary versions of that tradition (see Schmidtz, 2023, and The Stanford Encyclopaedia of Philosophy entry on Liberalism). In this final section on the 'classical' contribution to liberalism, I take up what some of the 'classics' had to say on this question of conflict avoidance and how it connects with the institutions in a society.

J.S. Mill's famous 'On Liberty' is often taken to be the landmark statement putting liberty and its connection to individualism at the foundation of liberalism. I do not wish to dispute this. However, matters are also slightly more complicated because Mill constrains the individual exercise of liberty by a 'harm principle': that is, people are free to do whatever they like provided they do not harm others (also see Oliver, 2025, in this issue). Why does he do this? The question arises because the harm principle cannot be readily deduced from the valuation of individual liberty *per se.* So, it would seem to be there for some other reason. One possible reason is that its inclusion offers a route to a reconciliation with Mill's Utilitarianism (see Norris Turner, 2014). The government intervenes, on this account, only when the net benefit from preventing a harm, in terms of aggregate 'utility', is positive.

A more plausible interpretation for the addition of the 'harm principle', I suggest, however, is that Mill had one eye also on liberalism as a doctrine of conflict avoidance. A commitment to Individual liberty builds-in a tolerance of diversity as, in principle, it means that whatever someone else does, it is not anyone else's business. However, if the exercise of individual freedom causes harm to others, then it will create a source of tension in society from which conflict can develop. In this context, it becomes natural to recommend that individual freedom be constrained by a 'harm principle'. In short, the 'harm principle' is there to serve the maintenance of harmony in a diverse society.

The institutional implications of the 'harm principle' are not set out in any detail in 'On Liberty'. Mill said some things about what might count as a harm (for example,

speech is less likely to cause harm than action), but they were more illustrative than systematic. Nevertheless, it is plain from what he says that not only is there scope for disputing whether something causes harm, there are clear incentives for people to exaggerate strategically the harms they might experience once the 'harm principle' governs government intervention. As a result, there will have, in practice, to be some mechanism for determining what counts as harm in any society. The judiciary and law making political institutions typically do this. For example, in the 1960s in the UK, the House of Commons shifted from determining that practising homosexuality caused a harm to the reverse view that its prohibition caused the harm. Similar changes occurred with respect to discrimination on grounds of gender and race and public policy in these respects amounted to an elaboration of individual rights. Indeed, it is probably because rights have become so normalised in the sense that they form part of the natural vocabulary of politics that the question of why Mill introduced the 'harm principle' is not much discussed. The point, though, that I wish to draw from its connection with the articulation of rights is that such interventions are procedural. They constrain actions but not necessarily the ends. For instance, a person can remain homophobic, racist, sexist, etc., in private or with the like-minded but they cannot act on these beliefs in their interactions with homosexuals, those of other races, genders, etc.

This strategy of avoiding conflict with the harm principle and the political determination of what counts as a harm through a regime of rights is, however, not foolproof. It threatens to push or reproduce a version of the same problem to the level of these collective decision making institutions. In particular, how is one to prevent one group of people determining the sense of 'harm' in such a way that they gain at the expense of others. In other words, how are zero-sum policies within political institutions to be avoided?

The 'classics' were again helpful in answering this question. I draw on two sources by way of illustration. They are again procedural forms of guidance. The Federalist Papers had two important suggestions. First, the governance institutions should be liberal and democratic with a built-in variety of checks and balances between different parts (executive and legislative) and different levels (Federal and State) of government and between each of these and the judiciary (see Papers 10 and 51, and of course, the Ostrums for support from more recent notables). The idea is simple. It is difficult to build a coalition that allows one group to tyrannise another when this coalition has to be built and held across a variety of institutions where the constituencies differ and so do the terms of office. Second, size is a great inhibitor—ironically because with greater size comes greater diversity and diversity makes coalition building more difficult (see Paper 10).

The other 'classic' is De Tocqueville (1840). He thought that American democracy depended on a fundamental equality of conditions. By this he meant that politically and socially everyone had the same standing and enjoyed equal respect. This was the magic that substituted, he thought, for the absence of Aristocratic leadership and which made democracy work. However, he worried that too much economic inequality would corrode the political dimension of the fundamental conditions of equality and with it some bit of the American magic. There had to be mechanisms to check the rise of inequality having such a corrosive effect.

I have argued, on another occasion, to a similar conclusion as De Tocqueville on the need for rules that temper economic inequality. I mention it partly because it is an elaboration of Mill's 'harm principle' and partly because it foregrounds the conclusion that I will draw regarding the need for institutions that encode positive as well as negative rights.

The nub of my argument is very different and works through a consideration of how to deal with harms in a complex economy (see Hargreaves Heap and Lewis, 2024). As the economy becomes more complex, the consequences of individual actions become less predictable and more uncertain. This means that harms will occur that were not anticipated and so could not have been intended. Such harms cannot be dealt with for this reason *ex ante* through the elaboration of the negative rights like those mentioned above in connection with sexuality, race and gender. We simply do not know when and why the harms happen in advance. If the occurrence of these unanticipable harms is not to become a potential source of conflict, then liberal societies will have to introduce rules that supply an *ex post* compensation for them. Institutions of social insurance are a good example of what is required. They are also an example of a positive right and as everyone pays for social insurance and only those who are harmed in the specific manner that the system of insurance addresses, they are institutions that typically check a source of inequality.

5 Conclusion

'Classical' liberals usefully remind us that freedom should not simply be understood as the absence of constraint on individual action. Liberty does have this negative dimension, but it also has a positive one. This is because liberty is only well served when individuals are autonomous in the sense that they do not take their ends as given but instead have reasons for holding them. Indeed, the point is deeper. For the 'Classics', the pursuit of autonomy provides an important reason why the negative aspect of liberty should also be valued. Without liberty in the negative sense, there is no scope for the experiments-in-living that underpin a developing sense of individual autonomy.

Much of this paper has been concerned with making sense of the claim by the 'Classics' that the exercise of liberty depends as much on a sense of individual autonomy as the negative sense of freedom. It has, though, also considered a complication with the negative dimension of freedom that points in a similar direction regarding the procedural supports of liberty. The complication comes from recognising that individual liberty will generate diversity and diversity is a potential source of conflict in a society. Liberals, thus, have also to attend to how the institutions or rules of a society will avoid these potential conflicts from becoming real. In short, a Liberal constitution cannot only encode liberty (however this is defined). While autonomy has remained a key issue in liberal debates, the concern with conflict avoidance has comparatively slipped from view. The restoration of this aspect of liberalism to the contemporary discussion is one of the contributions of the 'Classics' that I have identified.

Mill's solution to this complication was to make negative liberty more complex than the absence of constraint: the exercise of liberty had to be subject to his 'harm principle'. This, in turn, requires collective decision making rules for the determination and enforcement of the harms and the harm principle. In practice, this means a liberal

society will need an elaboration of rights through governance rules that are sensitive to our changing views on what are harms. This will only be possible in ways that do not displace the potential conflicts on to the political arena if these governance rules also enjoy certain properties. The 'classicals' had some useful suggestions regarding what those properties might be. This is another of their contributions. It is also noteworthy that these suggestions were procedural and, in this way, the 'Classics' are the natural fore-runners of the contemporary tradition of constitutional political economy.

One reason why rights cannot simply establish what negative liberty means in liberal societies is that some harms cannot be anticipated. Such harms can only be addressed *ex post* through the elaboration of positive rights to coverage from social insurance schemes and the like. The other reason, to return to the main argument of the paper, that rights acquire a positive dimension comes from the idea of freedom as autonomous action. The 'classics' contribution in this respect is to show why this is a distinct and coherent idea of liberty. In particular, their particulalr contribution is to suggest that autonomous action must satisfy the categorical imperative and be oriented to LBD. The latter, as suggested here and elsewhere, reinforces the argument that liberal societies require rules endowing people with positive rights which supply a basic level of security and capability (see Hargreaves Heap, 2023). Autonomous action, in other words, requires these positive rights.

In short, the 'classics' tell us in these ways that the rights rules are important to the constitution of a liberal society and these rules have to be more complicated and attend to more than the absence of restraint on individual action.

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